

Quarterly Review

October - December 2025 (Q2 of FY26)

ECONOMIC SITUATION IN BANGLADESH



METROPOLITAN CHAMBER OF COMMERCE & INDUSTRY, DHAKA



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Effectively respond to changing business environment

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Engage and communicate regularly with our stakeholders

Recognize best practices that benefit business and society



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Integrity

Respect

Equal Opportunity



CORE COMPETENCIES - ORGANIZATION

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Networking

Business Intelligence



CORE COMPETENCIES - PEOPLE

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QUARTERLY REVIEW

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EXECUTIVE SUMMARY

General

1. During the quarter under review (October-December of FY26), Bangladesh's economy showed mixed performance. Growth remained modest, weighed down by weak exports, subdued private investment, and tight monetary policy. Inflation stayed elevated, prompting continued credit tightening, which further constrained business activity.
2. On the positive side, strong remittance inflows supported foreign exchange reserves and helped maintain overall balance of payments stability, despite a widening trade deficit. Overall, the economy remained under pressure, with stability improving gradually but recovery still fragile.

Agriculture

3. Latest available data indicate that the sector employed about 44% of the country's total labor force and accounted for about 9.84% of GDP in Q1 of FY26, which was 12.82% in Q4 of FY25. Though the favorable natural factors and strong government support in terms of timely availability of inputs and finance, the sector achieved a lower growth rate of 2.30% in Q1 of FY26 compared to 3.02% in the previous quarter (Q4 of FY25).

Industry

4. Data on the country's industry sector is yet to be available for the quarter under review (Q2 of FY26). However, the sector registered a higher growth of 6.97% in Q1 of FY26, compared to 2.38% in the previous quarter (Q4 of FY25). Besides, the share of the industry sector in GDP also increased by 3.50 percentage points to 38.34% in Q1 of FY26 from 34.84% in Q4 of FY25.
5. The manufacturing sub-sector registered a higher growth of 6.17% in Q1 of FY26, compared to 3.37% in the previous quarter (Q4 of FY25). On the other hand, the share of the manufacturing sub-sector in GDP also increased to 25.41% in Q1 of FY26 from 23.31% in the previous quarter (Q4 of FY25).

Services

6. The services sector registered a higher growth of 3.67% in Q1 of FY26, compared to 2.51% in the previous quarter (Q4 of FY25). Besides, the share of the services sector in GDP, however, decreased by 0.52 percentage points to 51.82% in Q1 of FY26 from 52.34% in Q4 of FY25.

Power

7. According to the BPDB (Bangladesh Power Development Board) website, the power plants generated (evening, actual) 9,865 megawatts (MW) of electricity against maximum demand for 10,542 MW on 31 December 2025. Installed capacity and derated capacity was 28,359 MW and 27,904 MW, respectively on 31 December 2025. During the quarter under review (October-December of FY26), the maximum generation was 15,679 MW recorded on 01 October 2025.

Money and Capital Market

8. According to BB data, broad money (M_2) recorded a higher growth of 9.55% at the end of December 2025 compared to 7.57% growth achieved at the end of December 2024. December's growth was higher than the central bank's target of 7.80% in December 2025, set in the Monetary Policy Statement, July - December 2025 (MPS, H1FY26, Table 4, p.23).
9. Domestic credit, on the other hand, grew by 10.87% at the end of December 2025, while a lower growth rate of 9.12% was recorded at the end of December 2024. Among components of domestic credit, private sector credit registered a lower growth of 6.10% during the period between December 2025 and December 2024, compared with a higher growth of 7.28% during the period between December 2024 and December 2023. Private sector credit growth was below the central bank's target of 7.20% in December 2025 (MPS, H1FY26, Table 4, p.23). Public sector credit, on the other hand, recorded a higher growth of 28.13% at the end of December 2025, compared with a lower growth of 16.32% at the end of December 2024. December's growth was higher compared with BB's target of 20.40% in December 2025 (MPS, H1FY26, Table 4, p.23). Within public sector credit, credit to government (net) recorded a growth of 32.19%, and credit to other public sectors recorded a negative growth of 5.39%, during the period under review.
10. Total liquid assets of scheduled banks stood higher by 6.78% to Tk.626,046 crore at the end of October 2025, compared with Tk.586,307 crore at the end of June 2025. The minimum liquidity requirement of the scheduled banks was Tk.314,081 crore at the end of October 2025. The scheduled banks thus held an excess liquidity of Tk.311,965 crore as of end October 2025.
11. The interest rate spread between the weighted average interest rate (WAIR) on advances and deposits of all banks decreased by 9 basis points and registered at 5.69%

in December 2025 compared to the previous month (November).

12. Data on cottage, micro, small and medium enterprise (CMSME) loans are not available beyond January-March of FY25. According to BB data, disbursement of CMSME loans by all banks and non-bank financial institutions (NBFIs) decreased by 9.97% to Tk.47,813.01 crore during January-March of FY25 from Tk.53,107.48 crore in January-March of FY24. On the other hand, recovery of CMSME loans during January-March of FY25 however increased, year-on-year, by 5.23% to Tk.48,105.98 crore from Tk.45,716.94 crore.
13. According to the latest available data, the disbursement of agricultural credit and non-farm rural credit by all scheduled banks during July-December of FY26 stood at Tk.21,008.16 crore, grew by 29.21% from Tk.16,259.11 crore in July-December of FY25. On the other hand, the recovery of agricultural credit and non-farm rural credit increased by 13.90% to Tk.21,774.42 crore during July-December of FY26, compared to Tk.19,117.26 crore in the corresponding period of the previous fiscal year.
14. Country's both bourses, Dhaka Stock Exchange (DSE) and Chittagong Stock Exchange (CSE) on 05 February 2026 plunged as broad-based selling pressure emerged across the trading board, reflecting profit booking sentiment following three consecutive sessions of appreciation.
18. In December 2025, the last month of the review period, the NBR managed to collect Tk.36,195 crore in taxes with an increase of 10.25% against December 2024 (Tk.32,829.51 crore), but it failed to achieve the monthly target of Tk.51,366.12 crore by 29.54%.
19. ADP implementation has hit a 20-year low, with government agencies spending only 17.54% of the total allocation in July-December of FY26. In July-December of FY25, the ADP implementation rate was slightly higher at 17.97%, though it had reached 22-24 per cent in the three years prior.

Export and Import

20. In July-December of FY26, exports experienced 0.54% decline to US\$24.40 billion from US\$24.53 billion in July-December of FY25. This downward trend was mainly fueled as usual by the depressing performance of both knitwear and woven garments. However, the apparel sector includes knitwear and woven continued to dominate total exports and accounted for 80.62%. On the other hand, export earnings in December 2025, the last month of the review period, year-on-year, decreased by 7.46%.
21. In July-November of FY26, total value of imports (c&f) grew by 5.16% to US\$29.13 billion from US\$27.70 billion in July-November of FY25. On the other hand, import payments in November 2025, the last month of the review period, increased year-on-year by 7.83%.

Public Finance and Development Expenditure

15. NBR's tax revenue collection posted double-digit growth at 14.19% to Tk.185,229 crore during July-December of FY26 compared to Tk.162,209.12 crore in July-December of FY25. The revenue authority, however, fell short of its strategic target (Tk.231,205.37 crore) by 19.89% during the period under review. To achieve the full-year revenue target of Tk 499,000 crore, the NBR will need to mobilize Tk.313,771 crore in the remaining six months of the current fiscal year.
16. Despite missing the targets, all three wings of the revenue board (VAT, income tax, and custom wings) showed moderate growth in July-December of FY26 compared to the corresponding period of the previous fiscal year. Year-on-year, the VAT from the domestic sector contributed the highest – a 19.97% growth. Followed by the income tax wing which grew by 14.67% and customs department surged by 6.81%.
17. Besides, all these three wings of NBR year-on-year fell short against their respective strategic targets. In July-December of FY26, VAT wing fell short by 12.75%, income tax wing short by 27.55% and customs department fell short by 18.68%.

Remittances

22. Inflow of workers' remittances in December 2025, the last month of the review period, registered at US\$3,224.27 million, which was 22.19% higher compared to the same month of the previous fiscal year (US\$2,638.78 million). On the other hand, the inflow of remittance in July-December of FY26 increased by 18.05% to US\$16,261.76 million from US\$13,775.88 million in July-December of FY25 due to some government measures including higher cash incentives, streamlined regulations, and efforts to boost formal transfer channels.

Foreign Aid

23. Bangladesh received reduced foreign loans in H1 of FY26 as the execution of foreign-funded projects under the ADP fell to its lowest level in at least five years. The disbursement of foreign aid decreased by 29.18% to US\$2.50 billion in July-December of FY26 from US\$3.53 billion in July-December of FY25. On the other hand, the foreign aid commitments also declined by 13.48% to US\$1.99 billion in July-December of FY26 from US\$2.30 billion in July-December of FY25.

Foreign Direct Investment (FDI)

24. According to the latest data available from BB's balance of payments, the net inflows of foreign direct investment (FDI) in the first five months of the present fiscal year (July-November of FY26) increased, year-on-year, by 59.95% to US\$651 million from US\$407 million. FDI inflow in Bangladesh is low compared to that in many other countries at similar level of development.

Balance of Payments (BoP)

25. Current account deficit widened in the first five months of the current fiscal year ending November 2025 as sluggish export growth combined with a pick-up in imports, though the overall balance of payments (BoP) remained comfortably in surplus. By contrast, the overall BoP posted a surplus of US\$769 million, reversing a US\$2.54 billion deficit recorded a year earlier. The turnaround was driven largely by the financial account, which registered a surplus of US\$1.23 billion during the period, compared with a deficit of US\$1.01 billion a year earlier. As a result, the trade deficit widened to more than US\$9.41 billion. Meanwhile, remittance inflows rose to US\$13.04 billion in July-November of FY26, year-on-year up by 17.06% from US\$11.14 billion.
26. Exchange rate of Bangladeshi Taka against US\$ appreciated marginally by 0.37% at the end of December 2025 compared to the end of June 2025, while 1.93% depreciated was seen at the end of December 2025 compared to the end of December 2024.
27. Foreign exchange reserves have surged to US\$33 billion mark, reaching a three-year high, bolstered by a massive influx of remittances and strategic dollar purchases by the central bank. Gross foreign exchange reserves stood at US\$33.19 billion at the end of December 2025 compared to US\$26.21 billion at the end of December 2024. On the other hand, gross foreign exchange reserves, compliant with BPM6 (Balance of Payments and International Investment

Position Manual, 6th edition), stood at US\$28.59 billion at the end of December 2025 which was 21.39 billion at the end of December 2024.

Overseas Employment Situation

28. During the quarter under review (October-December of FY26), the manpower exports of the country decreased by 6.29% to 293,452 persons, compared to 313,138 persons in the corresponding period of the previous fiscal year (October-December of FY25). Month-wise in October-December of FY26, the number of migrants were in October 73,975, November 100,132, and December 119,345.

Inflation

29. In December 2025, the rate of general inflation rose further on a point-to-point basis (Base: 2021-22=100) in an apparent defiance of central bank's bid to lower persistently elevated price growth in a weakening investment scenario. The overall inflation stood at 8.49% in December, edging up from 8.29% in November 2025. In the corresponding period in December 2024, the inflation rate was higher at 10.89%. The government targeted to keep the average inflation within 6.5% during the current fiscal year (FY26).
30. The BBS data showed that inflation on account of both food and non-food prices accelerated during the month under review. The food inflation was recorded at 7.71% in December from 7.36% in November while non-food inflation was at 9.13% from 9.08%. In December 2024, year-on-year, food and non-food inflation was at 12.92% and 9.26%, respectively.
31. Price pressures intensified across region in the past month, after some respite. In the urban Bangladesh, the inflation rate in general and food soared to 8.55% and 7.87% in December 2025 - higher than the rate in the rural areas at 8.48% and 7.67%, respectively. On the other hand, non-food inflation in the rural area was higher at 9.26% in December 2025 compared to 8.99% in the urban areas.

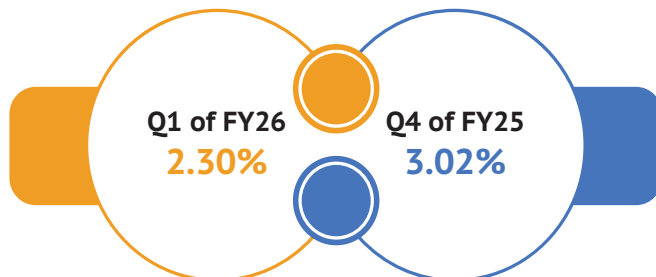
THE REPORT

1.0 AGRICULTURE

Full data on agricultural production are not available yet in the second quarter of the current fiscal year (Q2 of FY26) as the harvesting of the three major crops – Aman, Aus and Boro - will be spread over the months. Latest available data indicate that the sector employed about 44 per cent of the country's total labor force and accounted for about 9.84 per cent of GDP in Q1 of FY26, which was 12.82 per cent in Q4 of FY25. Though the favorable natural factors and strong government support in terms of timely availability of inputs and finance, the sector achieved a lower growth rate of 2.30 per cent in Q1 of FY26 compared to 3.02 per cent in the previous quarter (Q4 of FY25).



Growth Rate of Agriculture Sector:



1.1 Food Situation

1.1.1 Domestic Production

For the current fiscal year (FY26), the Department of Agricultural Extension (DAE) under the Ministry of Agriculture has set a provisional food grain (rice and wheat) production target of 45.39 million metric tons (MMT), reflecting 8.95 per cent higher than the previous year's actual production (41.66 MMT). The target comprises 3.22 MMT of Aus, 18.18 MMT of Aman, 22.77 MMT of Boro, and 1.22 MMT of wheat. In contrast, total food grain production in FY25 (41.66 MMT) reflects a 0.56 per cent decline from the preceding fiscal year.

Besides, Aus and Aman harvests have already been completed, with DAE estimates indicating production of approximately 2.99

MMT and 18.06 MMT, respectively. Currently, Boro and wheat cultivation is underway. Notably, Boro rice accounts for about 52% of the country's total rice production.

Domestic Food Grains Production and Target



1.1.2 Food grains Import

In FY26, the government undertook initiatives to import 1.5 MMT of food grains including 0.7 MMT of rice and 0.8 MMT of wheat to strengthen buffer stocks, mitigate market volatility, and safeguard national food security amid global uncertainties. As of December 2025, the government imported 0.1 MMT of rice and 0.3 MMT of wheat, while the remaining quantities were in the import pipeline. To stabilize domestic supply and prices, rice import duties were reduced, and the private sector was authorized to import 0.6 MMT of rice. Under this approval, the private sector imported 0.48 MMT of rice by November 2025, close to the scheduled target. Recently the government granted additional permission for the private sector to import a further 0.2 MMT of rice. During the first half of the fiscal year (July–December of FY26), the private sector imported 3.25 MMT of wheat, representing a 31% increase compared to the same period of the previous year. Consequently, total food grain imports by both the public and private sectors reached 4.2 MMT, marking a 42% year-on-year increase over the corresponding period in FY25.



1.1.3 Domestic Procurement

For FY26, the public food budget places strong emphasis on expanding internal procurement, with a target of 2.31 MMT of rice to provide price incentives to domestic farmers. Under the

ongoing Aman procurement program (20 November 2025–28 February 2026), the government plans to procure 0.17 MMT of Aman paddy and 0.92 MMT of rice, together equivalent to 1.00 MMT of rice. As of 31 December 2025, approximately 0.12 MMT of Aman paddy and 0.75 MMT of rice equivalent to 0.82 MMT of Aman rice had already been procured from the current Aman 2025–26 season. During the first half of the current fiscal year (July–December of FY26), total domestic procurement amounted to 0.13 MMT of paddy and 1.36 MMT of rice, equivalent to 1.44 MMT in rice terms, sourced from the last Boro season (July–August 2025) and the ongoing Aman season. This represents an increase of around 55% compared to the same period of the previous year. Overall, government procurement from the domestic market reduces import dependence, strengthens buffer stocks, and supports agricultural policy objectives. In Bangladesh, domestic rice procurement plays a critical dual role by supplying stocks for the PFDS (Public Food Distribution System) while providing vital income support to farmers, thereby reinforcing national food self-sufficiency goals.

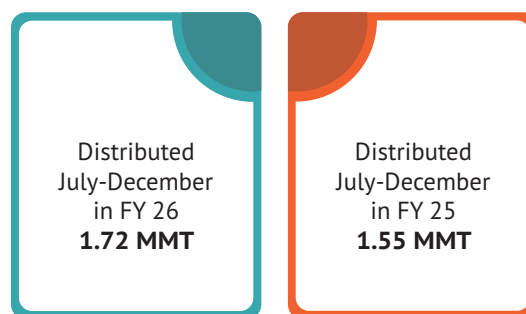


1.1.4 Public Distribution

As of the first half of FY26, about 1.72 MMT of food grains have been distributed through the PFDS, representing an 11% increase compared with the same period last year (1.55 MMT). PFDS plays a crucial role in Bangladesh, providing essential food assistance to impoverished and vulnerable populations through a combination of monetized and non-monetized programs. Key initiatives under PFDS include the Food Friendly Programme (FFP), Vulnerable Women Development (VWD), Open Market Sale (OMS), Essential Priorities (EP), Vulnerable Group Feeding (VGF), Gratuitous Relief (GR), Food For Work (FFW), and Hill Tract Area (HT) programs. Approximately 1.17 MMT of food grains have been distributed through the OMS and FFP accounting for 55% of the total distribution in the current fiscal year. Recognizing the persistent challenge of food price inflation, the government plans

to expand the OMS program further, reinforcing its commitment to safeguarding vulnerable populations and ensuring equitable access to essential food supplies. This proactive government strategy has proven to be an effective policy tool in countering seasonal price surges, ensuring market stability, and providing low-income communities with affordable access to food. The OMS initiative not only mitigates food price inflation but also strengthens social safety nets and enhances urban resilience against food insecurity and economic shocks.

Public Food Grains Distribution through PFDS



1.1.5 Public Stock

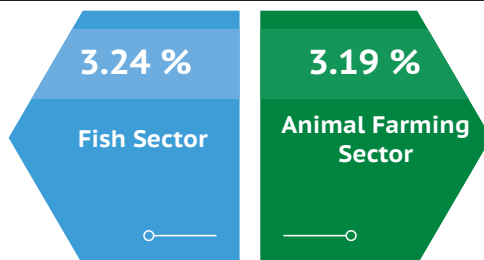
As of December 2025, public food grain stocks stood at 1.89 MMT, representing a 58% increase compared to the same period of the previous year. This rise was driven primarily by a substantial increase in rice reserves, which were approximately 0.96 MMT higher year on year. Public stocks are expected to exceed 2.00 MMT in the coming months as planned domestic and international procurement continues, further replenishing both rice and wheat reserves. Public food stocks play a critical role in stabilizing market prices and supporting food-based social protection and disaster-responsive PFDS programs. By maintaining adequate reserves through diversified procurement sources, the government helps reduce market volatility and ensure uninterrupted access to essential food supplies during crises or supply disruptions, thereby strengthening social protection systems and enhancing public resilience.



1.2 Fishing and Animal Farming (Livestock and Poultry)

According to the latest available data from BBS, fishing and animal farming (livestock and poultry) sub-sectors accounted for 4.15 per cent of the country's GDP in FY25. Separately, fishing and animal farming sub-sectors accounted for 2.34 per cent and 1.81 per cent, respectively. Besides, fishing and animal farming sub-sectors grew by 3.24 per cent and 3.19 per cent, respectively in FY25.

Growth of Fishing and Animal Farming Sub-sector in FY 25



Nearly 20 million people are involved in the fish sector, while the animal farming sector has created job opportunities for around 6.5 million people.

1.2.1 Fish



The contribution of the fishing sub-sector is immense towards ensuring food security, creating employments, alleviating poverty, earning foreign currencies, and improving the socio-economic condition of the people. Bangladesh is now self-sufficient in fish production thanks to the expansion of appropriate and climate-resilient aquaculture technologies at the farmers' level,

implementation of co-management in open waterbodies, and sustainable management of marine fisheries resources.

According to the Export Promotion Bureau (EPB) data, exports of frozen and live fish including shrimps, crabs, eels and other fish decreased by 1.93 per cent to US\$28.41 billion in July-January of FY26 from US\$28.97 billion in July-January of FY25.

Exports of Frozen and live fish



1.2.2 Livestock

The livestock sector makes an undeniable contribution to Bangladesh's economic growth, food and nutrition security, self-employment creation, and most importantly, poverty alleviation. With the continuous efforts of the government, Bangladesh made promising progress in meat, egg, and milk production.

With the active involvement of 10.4 million families, some 36 per cent of rural families are actively involved in cow rearing, as almost every family has 2.6 animals on average. According to sector insiders, about 40-45 per cent of the country's total meat production comes from poultry. Around about 20 million people and 0.5 million families are directly and indirectly involved in cow rearing activities at the poor and marginal levels. In the last 10 years, milk production has increased by almost 3 times, meat production by 7 times and egg production by 3 times due to various incentive programs taken by the government, according to the DLS (Department of Livestock Services) data.

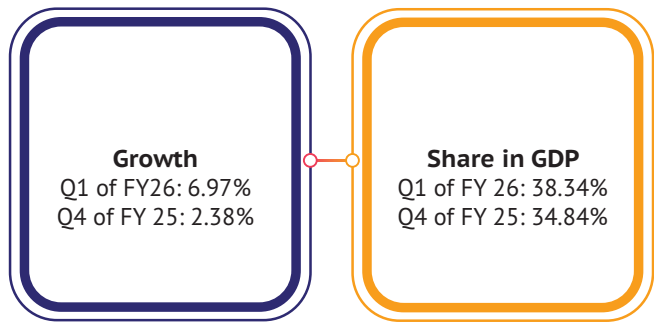


2.0 Industry



Data on the country’s industry sector is yet to be available for the quarter under review (Q2 of FY26). However, the sector registered a higher growth of 6.97 per cent in Q1 of FY26, compared to 2.38 per cent in the previous quarter (Q4 of FY25). Besides, the share of the industry sector in GDP also increased by 3.50 percentage points to 38.34 per cent in Q1 of FY26 from 34.84 per cent in Q4 of FY25.

Industry Sector



2.1 Manufacturing Industries



According to recently released data by the BBS, the manufacturing sub-sector registered a higher growth of 6.17 per cent in Q1 of FY26, compared to 3.37 per cent in the previous quarter (Q4 of FY25). On the other hand, the share of the manufacturing sub-sector in GDP also increased to 25.41 per cent in Q1 of FY26 from 23.31 per cent in the previous quarter (Q4 of FY25).

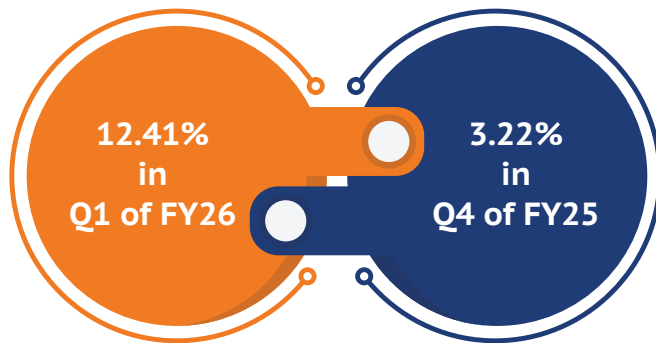
2.2 Construction



Data on the country’s construction sector is not available for the quarter under review (Q2 of FY26). However, according to the BBS latest provisional data, the sector grew by 12.41 per cent in Q1 of FY26 compared to 3.22 per cent in Q4 of FY25. The real estate activities, which are considered a separate category of the

services sector but have close links with the construction sector, however, recorded a lower growth of 1.79 per cent in Q1 of FY26 against 3.22 per cent in the previous quarter (Q4 of FY25).

Growth of Construction Sector



2.3 Power

According to the BPDB (Bangladesh Power Development Board) website, the power plants generated (evening, actual) 9,865 megawatts (MW) of electricity against maximum demand for 10,542 MW on 31 December 2025. Installed capacity and derated capacity was 28,359 MW and 27,904 MW, respectively on 31 December 2025. During the quarter under review (October-December of FY26), the maximum generation was 15,679MW recorded on 01 October 2025.



Electricity Demand & Supplied on 31 December 2025

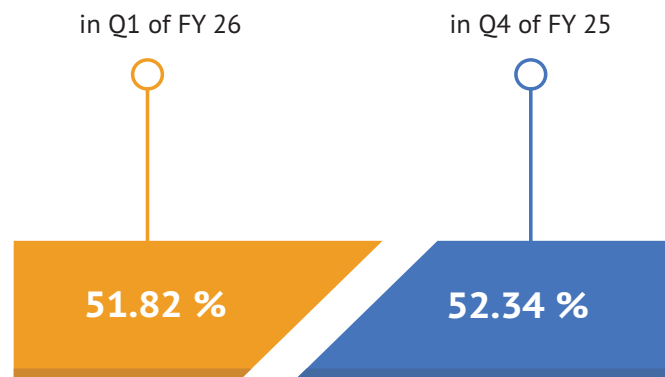
Generated (evening, actual)
9,865 MW

Demand Maximum
10,542 MW

3.0 Services Sector

Full data is not yet available to enable an understanding of how the services sector has done in the quarter under review (Q2 of FY26). However, the sector registered a higher growth of 3.67 per cent in Q1 of FY26, compared to 2.51 per cent in the previous quarter (Q4 of FY25). Besides, the share of the services sector in GDP, however, decreased by 0.52 percentage points to 51.82 per cent in Q1 of FY26 from 52.34 per cent in Q4 of FY25.

Share of the Services Sector in GDP



According to the Export Promotion Bureau (EPB) latest data, export earnings of the services sector increased by 1.85 per cent to US\$2,837.20million in July-November of FY26, compared to US\$2,785.70 million in the corresponding period of the previous fiscal year (July-November of FY25). Earnings of the services sector in July-November of FY26, however, decreased by 15.33 per cent against the strategic target (US\$3,350.96 million).



4.0 Monetary and Credit Developments



According to BB data, broad money (M_2) recorded a higher growth of 9.55 per cent at the end of December 2025 compared

to 7.57 per cent growth achieved at the end of December 2024 (Table 1). December's growth was higher than the central bank's target of 7.80 per cent in December 2025, set in the Monetary Policy Statement, July - December 2025 (MPS, H1FY26, Table 4, p.23). Domestic credit, on the other hand, grew by 10.87 per cent at the end of December 2025, while a lower growth rate of 9.12 per cent was recorded at the end of December 2024. Among components of domestic credit, private sector credit registered a lower growth of 6.10 per cent during the period between December 2025 and December 2024, compared with a higher growth of 7.28 per cent during the period between December 2024 and December 2023. Private sector credit growth was below the central bank's target of 7.20 per cent in December 2025 (MPS, H1FY26, Table 4, p.23). Public sector credit, on the other hand, recorded a higher growth of 28.13 per cent at the end of December 2025, compared with a lower growth of 16.32 per cent at the end of December 2024. December's growth was higher compared with BB's target of 20.40 per cent in December 2025 (MPS, H1FY26, Table 4, p.23). Within public sector credit, credit to government (net) recorded a growth of 32.19 per cent, and credit to other public sectors recorded a negative growth of 5.39 per cent, during the period under review (Table 1).

Private Sector Growth

December 2025
Over
December 2024
6.10%

December 2024
Over
December 2023
7.28%

Table 1: Monetary and Credit Development

(Taka in crore)

Particulars	Outstanding Stock			% Changes in Outstanding Stock	
	DECEMBER 2025 ^P	DECEMBER 2024 ^P	DECEMBER 2023 ^P	December 2025 over December 2024	December 2024 over December 2023
Total Domestic Credit	2384968	2151174	1971222	10.87	9.12
Credit to Public Sector	596944	465903	400552	28.13	16.32
Net Credit to Government Sector	549326	415573	351659	32.19	18.18
Credit to Other Public Sector	47618	50330	48893	(-) 5.39	2.94
Credit to Private Sector	1788024	1685271	1570670	6.10	7.28
Reserve Money (RM)	436325	399500	372316	9.22	7.30
Broad Money (M2)	2249886	2053682	1909148	9.55	7.57

Note: P=Provisional; R=Revised
Source: Bangladesh Bank

Total liquid assets of scheduled banks stood higher by 6.78 per cent to Tk.626,046 crore at the end of October 2025, compared with Tk.586,307 crore at the end of June 2025. The minimum liquidity requirement of the scheduled banks was Tk.314,081 crore at the end of October 2025 (Table 2). The scheduled banks thus held an excess liquidity of Tk.311,965 crore as of end October 2025.

Table 2: Liquidity Situation of the Scheduled Banks

(Taka in crore)

Bank Group	As of end June, 2025 ^R	As of end October 2025 ^P		
	Total Liquid Assets	Total Liquid Assets	Minimum Required Liquid Assets	Excess Liquidity
1	2	3	4	5 (3-4)
State owned banks	183795	185392	83017	102375
Private banks (other than Islamic)	312482	353224	174554	178670
Private banks (Islamic)	40657	37298	38685	(-) 1387
Foreign banks	47209	47722	15474	32248
Specialized banks*	2164	2410	2351	59
Total	586307	626046	314081	311965

Notes: P=Provisional; R=Revised; *= SLR does not apply to Specialized banks (except BASIC Bank) as exempted by the government

Source: Bangladesh Bank (BB)

4.1 Interest Rate Developments

The policy rate (repo) of the Bangladesh Bank (BB) continued to beat 10.00 per cent. The standing lending facility (SLF) rate remains fixed at 11.50 per cent, while the standing deposit facility (SDF) rate has been re-fixed at 8.00 per cent, down from 8.50 per cent, with effect from 16 July 2025 (Table 3).

Table 3: Interest Rate (weighted average) movements in the months of FY25 and FY26

(in per cent)

Month/Quarter	Policy Rate (Repo)	Standing Deposit Facility (SDF) Rate (Reverse Repo)	Standing Lending Facility (SLF) Rate	Weighted Average Interest Rate (WAIR) on Advances	Weighted Average Interest Rate (WAIR) on Deposits	Interest Rate Spread
FY25						
June	10.00	8.50	11.50	12.08	6.26	5.82
FY26						
July	10.00	8.00	11.50	12.14	6.39	5.75
August	10.00	8.00	11.50	12.15	6.39	5.76
September	10.00	8.00	11.50	12.16	6.42	5.74
October	10.00	8.00	11.50	12.14	6.40	5.74
November	10.00	8.00	11.50	12.14	6.36	5.78
December	10.00	8.00	11.50	12.03	6.34	5.69

Source: Bangladesh Bank (BB)

The interest rate spread between the weighted average interest rate (WAIR) on advances and deposits of all banks decreased by 9 basis points and registered at 5.69 per cent in December 2025 compared to the previous month (November)(Table 3).

4.2 Industrial Term Loans

Data on industrial term loans are available up to the second quarter (October-December) of FY24. According to BB data, the disbursement of industrial term loans during October-December of FY24 stood at Tk.33,763 crore, which was 28.90 per cent higher than Tk.26,193 crore disbursed during the immediate previous quarter (July-September) of FY24 (Table 4).

On the other hand, the recovery of industrial term loans also increased by 10.35 per cent to Tk.25,063 crore during October-December of FY24 compared to Tk.22,713 crore recovered in the previous quarter (July-September of FY24).

Disbursement and Recovery of Industrial Term Loans

**28.90 %
Higher
Disbursement**

October-December of FY 24:

Tk 33,763 crore

July-September of FY 24:

Tk 26,193 crore

October-December of FY 24:

Tk 25,063 crore

July-September of FY 24:

Tk 22,713 crore

**Recovery
loans
increase
by 10.35%**

Table 4: Disbursement and Recovery of Industrial Term Loans

Quarter	Disbursement (Tk. In crore)				Recovery (Tk. In crore)			
	LSI	MSI	SSCI	Total	LSI	MSI	SSCI	Total
October-December of FY23 ^R	19809	2266	7499	29575 (+59.33)	21882	3007	25704	50593 (+145.48)
January-March of FY23 ^R	14376	2603	3929	20908 (-29.31)	13179	2067	2653	17899 (-64.62)
April-June of FY23 ^R	19307	2755	4065	26127 (+24.96)	12693	1798	2800	17291 (-3.40)
July-September of FY24 ^P	20721	2012	3460	26193 (+0.25)	17832	1759	3122	22713 (+31.36)
October-December of FY24 ^P	26955	2602	4206	33763 (+28.90)	18820	2751	3492	25063 (+10.35)

Notes: LSI=Large Scale Industries, MSI=Medium Scale Industries and SSCI=Small Scale & Cottage Industries

P=Provisional; R=Revised; Figures in parentheses indicate the percentage change over the previous quarter

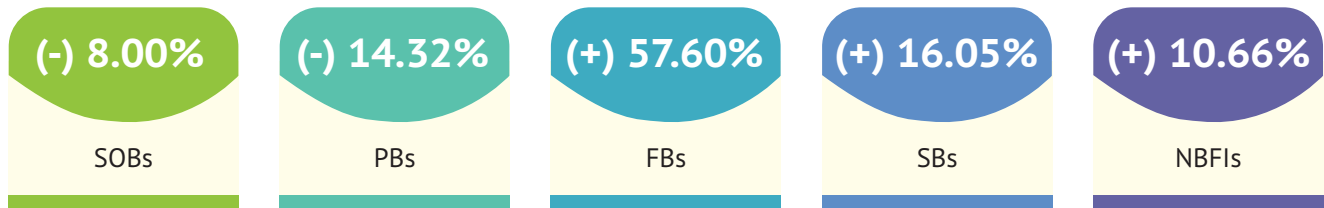
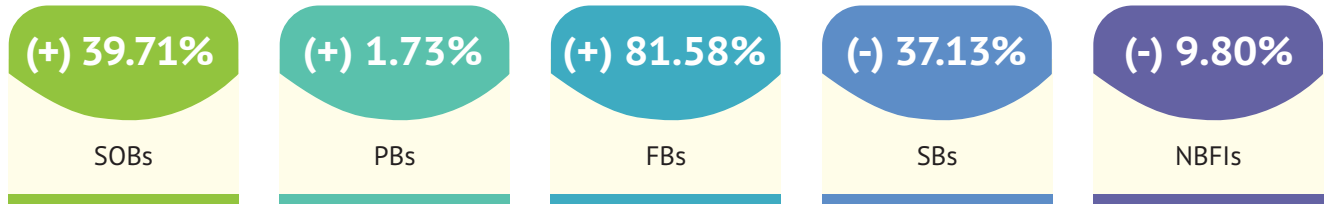
Source: Bangladesh Bank

4.3 Cottage, Micro, Small and Medium Enterprise (CMSME) Loans

Data on cottage, micro, small and medium enterprise (CMSME) loans are not available beyond January-March of FY25. According to BB data, disbursement of CMSME loans by all banks and non-bank financial institutions (NBFIs) decreased by 9.97 per cent to Tk.47,813.01 crore during January-March of FY25 from Tk.53,107.48 crore in January-March of FY24. On the other hand, recovery of CMSME loans during January-March of FY25 however increased, year-on-year, by 5.23 per cent to Tk.48,105.98 crore from Tk.45,716.94 crore (Table 5).

The outstanding position of CMSME loans by all banks and NBFIs was lower by 0.59 per cent at the end March of FY25 compared to that of end March of FY24 (Table 5). Outstanding CMSME loans as percentage of total outstanding loans stood at 16.84 per cent at the end March of FY25.



Percentage Change of Disbursement of CMSME Loans during Jan.-Mar. of FY 25 over Jan.-Mar. of FY 24**Percentage Change of Recovery of CMSME Loans during Jan.-Mar. of FY 25 over Jan.-Mar. of FY 24****Table 5: Disbursement, Recovery and Outstanding Situation of CMSME Loans**

(Tk. in crore)

Quarter	CMSME Loans	SOBs	PBs	FBs	SBs	NBFIs	Total
January-March of FY24 ^R	Disbursement	4086.67	44008.73	1557.22	1287.73	2167.12	53107.48
	Recovery	2449.06	38474.66	1685.87	1163.94	1943.41	45716.94
End March of FY24 ^R	Outstanding of CMSME Loans	55125.85	226554.84	3577.29	5956.76	12755.36	303970.10
	Outstanding of Total Loans	311589.46	1163136.06	52660.50	38665.39	56412.18	1622463.59
April-June of FY24 ^P	Disbursement	4775.43	44676.48	1707.94	1695.56	1671.00	54526.41
	Recovery	3037.88	41154.50	1508.19	1106.36	1811.11	48618.04
End June of FY24 ^P	Outstanding of CMSME Loans	55879.79	227689.69	3726.71	6559.60	12264.07	306119.87
	Outstanding of Total Loans	312063.77	1195203.26	56291.05	41436.74	55854.38	1660849.20
January-March of FY25 ^P	Disbursement	3759.78	37706.56	2454.14	1494.44	2398.10	47813.01
	Recovery	3421.55	39138.51	3061.17	731.74	1753.00	48105.98
End March of FY25 ^P	Outstanding of CMSME Loans	54856.09	222715.64	4542.31	7456.39	12604.16	302174.59
	Outstanding of Total Loans	319708.41	1310384.03	67013.05	42144.57	55128.29	1794378.35
% Change of Disbursement of CMSME Loans during January-March of FY25 over January-March of FY24		(-)8.00	(-) 14.32	+57.60	+16.05	+10.66	(-)9.97
% Change of Recovery of CMSME Loans during January-March of FY25 over January-March of FY24		+39.71	+1.73	+ 81.58	(-) 37.13	(-) 9.80	+5.23
Outstanding CMSME Loans as % of Total Outstanding Loans at the end of March of FY25		+ 17.16	+ 17.00	+ 6.78	+ 17.69	+ 22.86	+ 16.84
% Change of Outstanding of CMSME Loans at the End of March of FY25 over March of FY24		(-)0.49	(-)1.69	+ 26.98	+ 25.18	(-) 1.19	(-)0.59

Notes: SOBs=State Owned Banks, PBs=Private Banks, FBs=Foreign Banks, SBs=Specialized Banks, and NBFIs=Non-Bank Financial Institutions.

P=Provisional; R=Revised.

Source: Bangladesh Bank

4.4 Agricultural Credit and Non-farm Rural Credit

According to the latest available data, the disbursement of agricultural credit and non-farm rural credit by all scheduled banks during July-December of FY26 stood

at Tk.21,008.16 crore, grew by 29.21 per cent from Tk.16,259.11 crore in July-December of FY25 (Table 6 and Figure). On the other hand, the recovery of agricultural credit and non-farm rural credit increased by 13.90 per cent to Tk.21,774.42 crore during July-December of FY26, compared to Tk.19,117.26 crore in the corresponding period of the previous fiscal year.

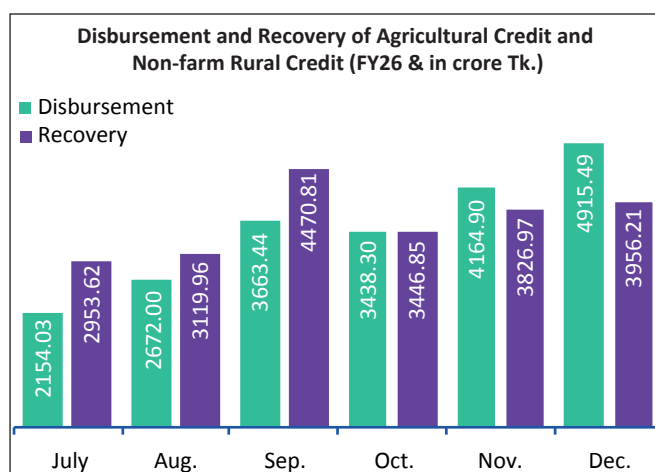
Table 6: Disbursement and Recovery of Agricultural Credit and Non-farm Rural Credit

(in crore Taka)

Month	FY26 ^P		FY25 ^R	
	Disbursement	Recovery	Disbursement	Recovery
July	2154.03	2953.62	1790.71	2533.79
August	2672.00	3119.96	2080.20	2911.67
September	3663.44	4470.81	2587.27	3764.51
October	3438.30	3446.85	2933.18	3112.45
November	4164.90	3826.97	3689.79	3747.08
December	4915.49	3956.21	3177.96	3047.76
Total of July-December	21008.16 (+ 29.21)	21774.42 (+ 13.90)	16259.11 (- 11.28)	19117.26 (+ 7.52)

Notes: P=Provisional, R=Revised; Figures in parentheses indicate the percentage change over the same period of the previous fiscal year

Source: Bangladesh Bank



5.0 Capital Market

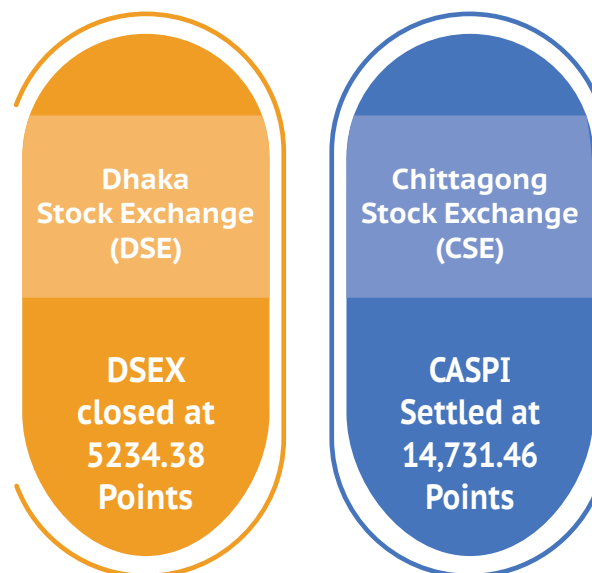
Country's both bourses, Dhaka Stock Exchange (DSE) and Chittagong Stock Exchange (CSE) on 05 February 2026 plunged as broad-based selling pressure emerged across the trading board, reflecting profit booking sentiment following three consecutive sessions of appreciation.

Stocks of the DSE ended lower on 05 February 2026 compared to the previous trading day. Turnover stood at Tk.5.87 billion, decreased by 17.56 per cent from the previous trading day (Tk.7.12 billion). The key index of the DSE, DSEX, went down by 0.61 per cent, or 32.30 points, closed at 5,234.38 points on 05 February 2026 compared with 5,266.68 points on the previous working day (03 February 2026). Performances of the two other indices were mixed. The DSE Shariah Index (DSES) went up slightly by 0.16 per cent or 1.76 point to finish at 1,072.13 from 1,070.37 and the DS30 Index, comprising blue chips, however, down by 19.86 points or 0.98 per cent to close at 2,001.85 from 2,021.71. Out of the 397 issues traded, 121 advanced, 219 declined and 57 remained unchanged.



On the other hand, CSE ended lower on 05 February 2026 with the CSE All Share Price Index - CASPI - decreased by 29.51 points or 0.20 per cent to settle at 14,731.46 from 14,760.97 in the previous working day (03 February 2026) and the Selective Categories Index - CSCX - went down by 22.76 points or 0.25 per cent to close at 9,122.27 from 9,145.03.

DSE and CSE settled on 05 February 2026



6.0 Public Finance

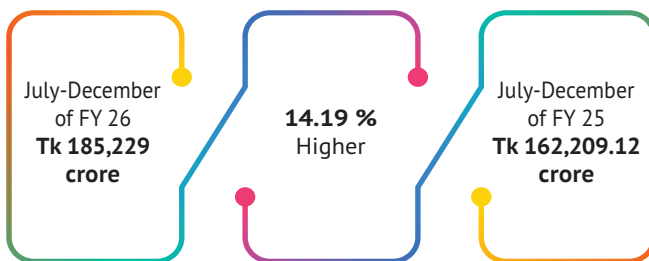
The tax revenue collection posted double-digit growth at 14.19 per cent or Tk.23,019.88 crore to Tk.185,229 crore during July-December of FY26 compared to Tk.162,209.12 crore in July-December of FY25, according to provisional data of the National Board of Revenue (NBR). The revenue authority, however, fell short of its strategic target (Tk.231,205.37 crore) by Tk.45,976.37 crore or 19.89 per cent during the period under review. To achieve the full-year revenue target of Tk 499,000 crore, the NBR will need to mobilize Tk.313,771 crore in the remaining six months of the current fiscal year.



Despite missing the target, all three wings of the revenue board (VAT, income tax, and custom wings) showed moderate growth in July-December of FY26 compared to the corresponding period of the previous fiscal year. Year-on-year, the value added tax (VAT) from the domestic sector contributed the highest – a 19.97 per cent growth – to Tk.70,493.24 crore in July-December of FY26 from Tk.58,759.35 crore. Followed by the income tax wing which grew by 14.67 per cent to Tk.61,875.20 crore in July-December of FY26 from Tk.53,959.79 crore. And customs department surged by 6.81 per cent, collecting Tk.52,860.56 crore from Tk.49,489.98 crore.

Besides, all these three wings of NBR year-on-year fell short against their respective strategic targets in July-December of FY26. In July-December of FY26, VAT wing fell short by 12.75 per cent against the strategic target of Tk.80,799 crore, income tax wing short by 27.55 per cent against the strategic target of Tk.85,405.52 crore and customs department fell short by 18.68 per cent from the strategic target (Tk.65,000.85 crore).

Collection of Tax Revenue



In December 2025, the last month of the review period, the NBR managed to collect Tk.36,195 crore in taxes with an increase of 10.25 per cent against December 2024 (Tk.32,829.51 crore), but it failed to achieve the monthly target of Tk.51,366.12 crore by 29.54 per cent.

Among the three wings of NBR in December 2025, VAT wings increased year-on-year by 11.31 per cent to Tk.12,261 crore from Tk.11,015.66 crore; income tax wing increased by 7.26 per

cent to Tk.13,984 crore from Tk.13,037.32 crore, and customs department also rose by 13.37 per cent to Tk.9,950 crore from Tk.8,776.53 crore. On the other hand, all three wings of the NBR fell short against their respective targets in December 2025. VAT wing fell by 34.61 per cent from the target of Tk.18,750.26 crore, income tax wing decreased by 24.80 per cent from the target of Tk.18,594.57 crore, and customs department down by 29.04 per cent from the target of Tk.14,021.29 crore.

6.1 Public Expenditure

Annual Development Programme (ADP) implementation has hit a 20-year low, with government agencies spending only 17.54 per cent of the total allocation in the first half of the current fiscal year (July-December of FY26). Even during the corresponding period of the previous fiscal year (July-December of FY25), the ADP implementation rate was slightly higher at 17.97 per cent, though it had reached 22-24 per cent in the three years prior, according to the Implementation Monitoring and Evaluation Division (IMED) latest data. Experts highlighted a concerning trend of slow development spending, attributing it to ongoing political uncertainty, slow procurement processes, and administrative disruptions. They also note that the persistently low implementation rate hinders economic growth, job creation, and service delivery, particularly when private investment remains subdued. Without structural changes to address these long-standing issues, the cycle of delays is expected to continue, they added.



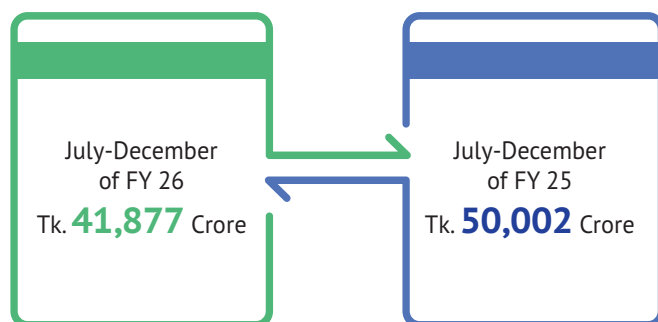
According to IMED, government ministries and agencies spent Tk.41,876.88 crore during July-December of FY26, representing 17.54 per cent of the total ADP allocation of Tk.238,695.64 crore. The interim government had already trimmed the ADP by Tk.30,000 crore to Tk.208,695.64 crore earlier in January 2026 to reflect resource constraints and slow implementation. A year earlier, during July-December of FY 25, the implementation of public expenditures was Tk. 50,0002.34 crore.

Out of the spending (Tk.41,876.88 crore) in the period under review (July-December of FY26), the foreign aid (project aid) spending was Tk.15,981 crore, which was 18.58 per cent of the total foreign aid (Tk.86,000 crore). On the other hand, the spending of local funds (including GoB funds) in July-December of FY26 was Tk.25,895.88 crore, which was 16.96 per cent of the total local funds of Tk.152,696 crore.

At the end of the last month (December) of the review period (July-December of FY26), the ministries and other government agencies failed to improve their budget expenditure when they could spend only 5.80 per cent, compared to also lower, 5.67 per cent, of the corresponding period of FY25.

The largest budget holder of the fifteen ministries and divisions, which together received 74.56 per cent of the total ADP, managed to post 20.12 per cent average ADP performance by spending a total of Tk.35,803 crore in July-December of FY26. Among these ministries and divisions, project implementation by the Ministry of Science and Technology was the highest (35.81%); followed by the Ministry of Water Resources (31.17%), the Local Government Division (30.65%), the Energy and Mineral Resources Department (27.69%), the Bridges Division (23.13%), the Ministry of Housing and Public Works (22.99%), the Ministry of Agriculture (19.97%), the Ministry of Shipping (18.82%), the Ministry of Primary and Mass Education (17.98%), the Power Division (16.96%), the Secondary and Higher Education Division (13.22%), and the Road Transport and Highways Division (12.06%).

Implementation of Public Expenditure



Implementation agencies that spent less than 10.0 per cent of their respective ADP budgets were: the Ministry of Railways (9.79%), the Health Services Division (6.11%) and the Medical Education and Family Welfare Division (2.34%).

7.0 Exports

In the first half of the current fiscal year (July-December of FY26), exports experienced 0.54 per cent decline to US\$24.40 billion from US\$24.53 billion in the corresponding period of the previous fiscal year (July-December of FY25). This downward trend was mainly fueled as usual by the depressing performance of knitwear and woven garments, accounting for 43.58 per

cent and 37.04 per cent, respectively, of total export earnings. However, the apparel sector includes knitwear and woven continued to dominate total exports and accounted for 80.62 per cent (Table 7).

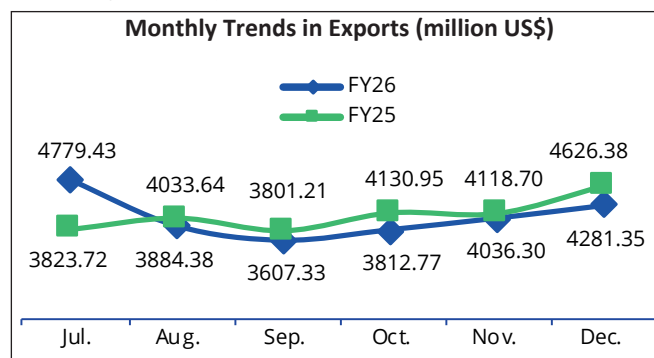


On the other hand, export earnings in December 2025, the last month of the review period, decreased by 7.46 per cent to US\$4.28 billion from US\$4.63 billion in the corresponding month of the previous fiscal year; however, up by 5.94 per cent from the previous month (November 2025).

Table 7: Monthly Trends in Exports

Month	Exports (million US\$)		Change (%)
	FY26 ^P	FY25 ^R	
July	4779.43	3823.72	+ 24.99
August	3884.38	4033.64	- 3.70
September	3607.33	3801.21	- 5.10
October	3812.77	4130.95	- 7.70
November	4036.30	4118.70	- 2.00
December	4281.35	4626.38	- 7.46
Total of July – Dec.	24401.56	24534.60	-0.54

Notes: P=Provisional; R=Revised
Sources: Bangladesh Bank (BB)



Of the total US\$24.40 billion, the readymade garments (RMG) export declined by 1.06 per cent to US\$19.67 billion in July-December of FY26 from US\$19.88 billion in July-December of FY25. A breakdown of the clothing sector's performance shows that the knitwear sub-sector fetched US\$10.64 billion, earnings decreased year-on-year by 1.84 per cent from US\$10.83 billion. Earnings from woven garment exports amounted to US\$9.04 billion from US\$9.05 billion, down by 0.09 per cent. In July-December of FY26, performances from the other main 31 non-RMG sectors are: home textiles US\$379.51 million (+3.42%), agricultural products US\$537.72 million (-9.63%), jute and jute goods US\$472.20 million (+2.19%), leather and leather products US\$621.81 million (+7.68%), frozen and live fish US\$260.99 million (+6.30%), chemical products US\$200.44 million (+4.90%), plastic products US\$146.31 million (-7.36%), and engineering products US\$342.92 million (+33.59%).

Though the review period is October-December of FY26, some additional time is required due to the availability of data and preparing the report. In the meantime, export data in January 2026 is available and that is US\$4.41 billion. One year earlier, the export was US\$4.44 billion in January 2025.



Table 8: Monthly Trends in Imports (C&F)

Month	Imports (million US\$)		Change (%)
	FY26 ^P	FY25 ^R	
July	6270.46	5247.75	+ 19.49
August	5222.73	5271.48	- 0.92
September	6212.13	5651.48	+ 9.92
October	5621.50	6147.92	- 8.56
November	5799.09	5377.88	+ 7.83
Total of July – November	29125.91	27696.51	+ 5.16

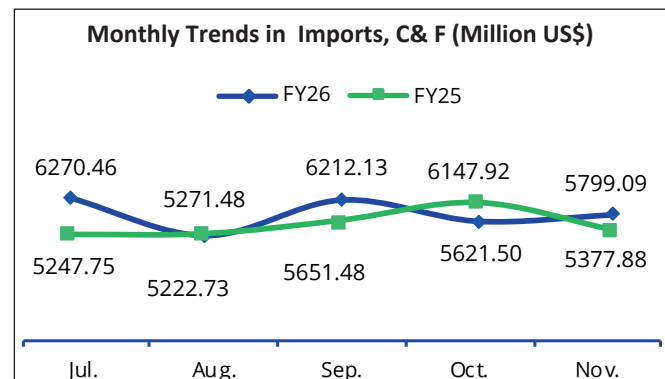
Notes: P=Provisional; R=Revised
Sources: Bangladesh Bank (BB)

Monthly Export Earnings (Merchandise)



8.0 Imports

In the first five months of the current fiscal year (July-November of FY26), according to Bangladesh Bank latest data, total value of imports (c&f) grew by 5.16 per cent to US\$29.13 billion from US\$27.70 billion in July-November of FY25 (Table 8). The increase in imports could mostly be attributed to the stability in the foreign exchange market which resulted in significant rise in intermediate goods import, especially goods related to readymade garments (RMG). On the other hand, import payments in November 2025, the last month of the review period, increased by 7.83 per cent to US\$5.80 billion from US\$5.38 billion in the corresponding month of the previous fiscal year, also increased by 3.16 per cent from the previous month (October 2025).



The settlement of import Letters of Credit (LCs) during July-December of FY26 decreased year-on-year by 0.97 per cent and stood at US\$33.98 billion. On the other hand, fresh opening of import LCs during July-December of FY26, however, increased year-on-year by 2.96 per cent and stood at US\$35.84 billion.

9.0 Remittances

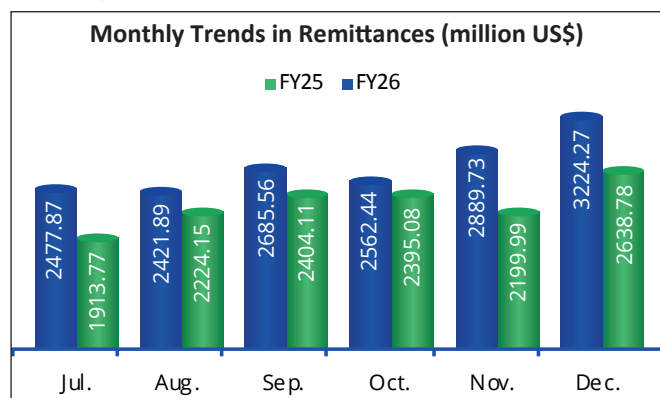
Inflow of workers' remittances in December 2025, the last month of the review period, registered at US\$3,224.27 million, which was 22.19 per cent higher compared to the same month of the previous fiscal year (US\$2,638.78 million). According to the Bangladesh Bank (BB) latest data, The rise in remittance earnings offers a much-needed respite for the economy, which has been grappling with multiple macroeconomic challenges amid a persistent foreign exchange shortage, according to experts. Moreover, the central bank has taken proactive measures to boost foreign currency inflows, including stabilizing the foreign exchange market through regulatory interventions under the free-floating exchange regime. However, the inward remittances were US\$2,889.73 million in the previous month (November 2025).



Table 9: Monthly Trends in Remittances

Month	Remittances (million US\$)		Change (%)
	FY26 ^P	FY25 ^R	
July	2477.87	1913.77	+ 29.48
August	2421.89	2224.15	+ 8.89
September	2685.56	2404.11	+ 11.71
October	2562.44	2395.08	+ 6.99
November	2889.73	2199.99	+ 31.35
December	3224.27	2638.78	+ 22.19
Total of July – Dec.	16261.76	13775.88	+ 18.05

Notes: P=Provisional; R=Revised
Source: Bangladesh Bank



On the other hand, the inflow of remittance in July-December of FY26 increased by 18.05 per cent to US\$16,261.76 million from US\$13,775.88 million in July-December of FY25 (Table 9.1) due to some government measures including higher cash incentives, streamlined regulations, and efforts to boost formal transfer channels.

Among the remittances sending countries, the Kingdom of Saudi Arabia (KSA) held the top position (US\$2,540.17 million) of 15.62 per cent while the United Kingdom (UK) became the second (US\$2,074.65 million) of 12.76 per cent and the United Arab Emirates (UAE) held the third (US\$2,058.86 million) of 12.66 per cent share of the total remittances during July-December of FY26. The Gulf Cooperation Council (GCC) countries (KSA, UAE, Kuwait, Qatar, Oman, Bahrain) contributed 46.27 percent of the total remittance inflows during July-December of FY26 while Malaysia and the United States of America (USA) contributed 10.77 per cent and 7.91 per cent, respectively of the total remittances during the period. Among the European countries, the UK and Italy combined contributed 19.07 per cent of total remittances received in July-December of FY26 (Table 9.2).

Table 9: Monthly Trends in Remittances

Rank	July-December of FY26		
	Country	Amount (million US\$)	Share of total remittances (%)
1	Kingdom of Saudi Arabia (KSA)	2540.17	15.62
2	United Kingdom (UK)	2074.65	12.76
3	United Arab Emirates (UAE)	2058.86	12.66
4	Malaysia	1751.24	10.77
5	United States of America (USA)	1286.62	7.91
6	Italy	1026.95	6.32
7	Oman	949.52	5.84
8	Kuwait	806.89	4.96
9	Qatar	740.45	4.55
10	Singapore	664.70	4.09
Other Countries		2361.71	14.52
Total		16261.76	100.00

Source: Bangladesh Bank (BB)

Though the review period is October-December of FY26, some additional time is required due to the availability of data and preparing the report. In the meantime, remittance data in January 2026 is available and that is US\$3,171 million. One year earlier, the remittance was US\$2,185 million in January 2025.

10.0 Foreign Aid

Bangladesh received reduced foreign loans in the first half of the current fiscal year (H1 of FY26) as the execution of foreign-funded projects under the Annual Development Programme (ADP) fell to its lowest level in at least five years. The disbursement of foreign aid made by the development partners to Bangladesh decreased by 29.18 per cent or US\$1.03 billion to US\$2.50 billion during July-December of FY26 from US\$3.53 billion in July-December of FY25, according to the Economic Relations Division (ERD) provisional data. Of the disbursement of US\$2.50 billion, US\$2.47 billion came as project assistance while the rest (US\$0.03 billion) was in the form of food aid. Of the foreign aid disbursed in July-December of FY26, US\$2.26 billion were in loans and US\$0.24 billion in grants as compared to US\$3.26 billion in loans and US\$0.27 billion in grants of July-December of FY25.



The country usually takes medium- to long-term concessional loans from different development partners, including World Bank (WB), Asian Development Bank (ADB), Japan International Cooperation Agency (JICA), Asian Infrastructure Investment Bank (AIIB), Russia, China, India, and Islamic Development Bank (IsDB), for development projects.

On the other hand, the foreign aid commitments also declined by US\$0.31 billion or 13.48 per cent to US\$1.99 billion in July-December of FY26 from US\$2.30 billion in July-December of FY25 as lenders awaited the country's political transition ahead of the national election scheduled for 12 February 2026. However, of the commitments (US\$1.99 billion), the entire amount came as project assistance. Of the foreign aid commitments in July-December of FY26, US\$1.89 billion were in loans and US\$0.10 billion in grants as compared to US\$2.01 billion in loans and US\$0.29 billion in grants of July-December of FY25.

Despite the decline in both commitments and disbursements, pressure to repay foreign loans increased year-on-year by 11.11 per cent. Bangladesh repaid debts of US\$2.20 billion in interest (US\$0.77 billion) and principal (US\$1.43 billion) during July-December of FY26 to the various development partners, compared to US\$1.98 billion (US\$0.75 billion and US\$1.23 billion) in the corresponding period of the previous fiscal year.

11.0 Foreign Direct Investment (FDI)

According to the latest data available from BB's balance of payments, the net inflows of foreign direct investment (FDI) in the first five months of the present fiscal year (July-November of FY26) increased, year-on-year, by 59.95 per cent to US\$651 million from US\$407 million. FDI inflow in Bangladesh is low compared to that in many other countries at similar level of development.



Bangladesh's low labor costs are generally believed to be attractive to foreign investors, yet they hesitate to make fresh investments in the country because of the country's underdeveloped infrastructure, and such other impediments as the shortage of energy and weak transmission infrastructure, lack of consistency in policy and regulatory frameworks, scarcity of industrial land, corruption, and non-transparent and uneven application of rules and regulations. The government needs to address these impediments to attract more FDI to the country to ensure the country's economic development.

12.0 Balance of Payments (BoP)

Current account deficit widened in the first five months of the current fiscal year ending November 2025 as sluggish export growth combined with a pick-up in imports, though the overall balance of payments remained comfortably in surplus.

The current account deficit, the key part of the overall Balance of Payments (BoP), stood at US\$696 million in July-November of FY26, compared with US\$568 million in the corresponding period of the previous fiscal year, according to the BB data. By contrast, the overall BoP posted a surplus of US\$769 million, reversing a US\$2.54 billion deficit recorded a year earlier. The turnaround was driven largely by the financial account, which registered a surplus of US\$1.23 billion during the period, compared with a deficit of US\$1.01 billion a year earlier. Economists said that the financial account surplus, together with unaccounted inflows recorded under errors and omissions, more than offset the widening current account gap. They attribute the deterioration in the current account mainly to flat export earnings and rising imports. Export receipts edged up by 0.61 per cent to US\$18.19 billion during the period, while import payments rose by 6.08 per cent to US\$27.59 billion. As a result, the trade deficit widened to more than US\$9.41 billion. Meanwhile, remittance inflows rose to US\$13.04 billion in July-November of FY26, year-on-year up by 17.06 per cent from US\$11.14 billion (Table 10).



Table 10: Balance of Payments

(in million US\$)

Items	July-November of FY26 ^P	July-November of FY25 ^R	% Changes
Trade Balance	(-) 9407	(-) 7937	18.52
Exports f.o.b (including EPZ)	18187	18076	0.61
Imports f.o.b (including EPZ)*	27594	26013	6.08
Services	(-) 2455	(-) 1981	23.93
Credit	2784	2754	
Debit	5240	4735	
Primary Income	(-) 2134	(-) 2057	3.74
Credit	1084	1102	
Debit	3218	3159	
of which: Official Interest Payment	970	897	
Secondary Income	13300	11407	16.60
Official Transfers	12	28	
Private Transfers (net)	13288	11379	
of which: Workers' Remittances Inflows	13037	11137	17.06
Current Account Balance	(-) 696	(-) 568	(-) 22.54
Capital Account	100	168	(-) 40.48
Capital Transfers	100	168	
Financial Account	1233	(-) 1010	(-) 222.08
Foreign Direct Investment (net)	651	407	59.95
Portfolio Investment (net)	(-) 89	(-) 28	
Other Investment (net)	671	(-) 1389	
Medium and Long Term (MLT) Loans	1833	1348	35.98
MLT Amortization Payments	1328	1079	23.08
Trade Credit (net)	595	(-) 817	(-) 172.83
Errors and Omissions	132	(-) 1127	(-) 111.71
Overall Balance	769	(-) 2538	(-) 130.30

Notes: P=Provisional; R=Revised

* Net FDI has been accounted for financial account and Bangladesh Bank Assets have been computed as per BPM6.

Source: Bangladesh Bank (BB)

13.0 Exchange Rate

Exchange rate of Bangladeshi Taka against US\$ appreciated marginally by 0.37 per cent at the end of December 2025 compared to the end of June 2025, while 1.93 per cent depreciated was seen at the end of December 2025 compared to the end of December 2024 (Table 11).

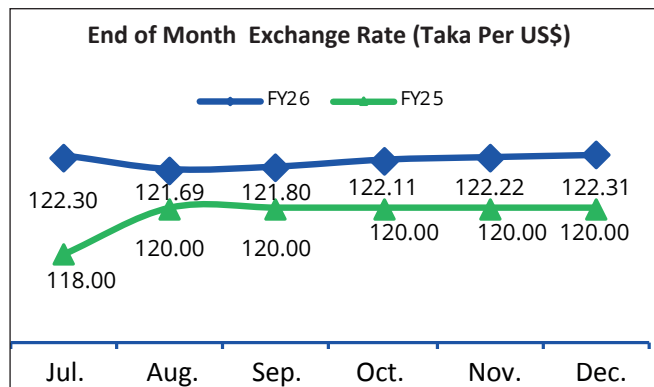


Table 11: Monthly Exchange Rate

Month	FY26 ^P (Taka per US\$)		FY25 ^R (Taka per US\$)	
	Month Average	End Month	Month Average	End Month
June	-	-	122.8464	122.7735
July	121.9323	122.3023	117.9720	118.0000
August	121.6415	121.6890	118.8510	120.0000
September	121.7481	121.8027	120.0000	120.0000
October	122.0464	122.1056	119.9994	120.0000
November	122.3287	122.2181	120.0000	120.0000
December	122.2928	122.3140	120.0000	120.0000

Note: P=Provisional; R=Revised

Source: Bangladesh Bank (BB)



To contain the persistent foreign exchange pressure, the Bangladesh Bank (BB) as well as the government took various policy measures; aided by steady inflow of remittances and lower import payments. BB bought a net value of US\$3,135.50 million in the foreign exchange market during July-December of FY26, compared to a net sale of US\$628.38 million in the corresponding period of the previous fiscal year.

Though the review period is October-December of FY26, some additional time is required due to the availability of data and

preparing the report. In the meantime, exchange rate data in January 2026 is available and that is 122.3441 (end month). One year earlier, the end month data was 122.0000 in January 2025.

14.0 Foreign Exchange Reserves

Bangladesh's foreign exchange reserves have surged to US\$33 billion mark, reaching a three-year high, bolstered by a massive influx of remittances and strategic dollar purchases by the central bank. According to the latest data from the Bangladesh Bank, gross foreign exchange reserves stood at US\$33.19 billion at the end of December 2025 compared to US\$26.21 billion at the end of December 2024 (Table 12). On the other hand, gross foreign exchange reserves, compliant with BPM6 (Balance of Payments and International Investment Position Manual, 6th edition), stood at US\$28.59 billion at the end of December 2025 which was 21.39 billion at the end of December 2024.

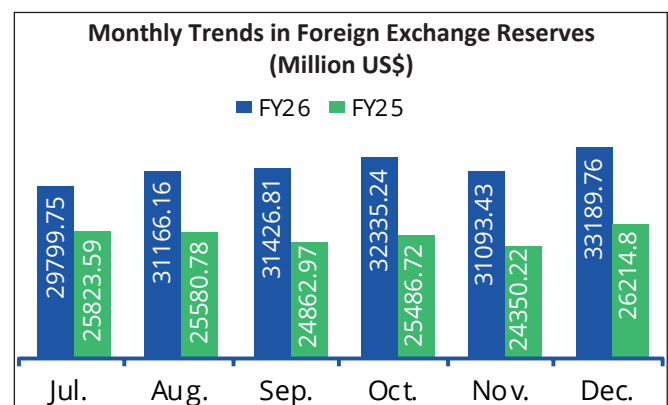


Table 12: Monthly Trends in Foreign Exchange Reserves
(US\$ in million)

	FY26 ^P	FY26 ^R (BPM6)	FY25 ^P	FY25 ^R (BPM6)
July	29799.75	24779.08	25823.59	20393.66
August	31166.16	26173.73	25580.78	20475.41
September	31426.81	26603.65	24862.97	19861.45
October	32335.24	27577.74	25486.72	19829.95
November	31093.43	26395.77	24350.22	18611.38
December	33189.76	28589.26	26214.80	21394.73

Notes: P=Provisional; R=Revised

Source: Bangladesh Bank (BB)



Though the review period is October-December of FY26, some additional time is required due to the availability of data and preparing the report. In the meantime, reserve data in January 2026 is available and that is US\$28.68 billion (compliant with BPM6). One year earlier, the reserve was US\$19.97 billion in January 2025.

15.0 Overseas Employment Situation

During the quarter under review (October-December of FY26), the manpower exports of the country decreased by 6.29 per cent to 293,452 persons, compared to 313,138 persons in the corresponding period of the previous fiscal year (October-December of FY25). However, the manpower export in the review quarter (October-December of FY26) also lower by 5.32 per cent from 309,945 persons in the previous quarter (July-September of FY26). Month-wise in October-December of FY26, the number of migrants were in October 73,975, November 100,132, and December 119,345.

Regarding female migration, in between January and May of 2025, only 24,618 women migrated in search of work, a newspaper report attributes this drop to the country's July-August incidence which temporarily disrupted migration flows. However, migration rates regained momentum in May of the year. According to the latest available data from Bureau of Manpower, Employment and Training (BMET), during January to May of 2025, the numbers of female migrations were: 5,858 in January, 4,503 in February, 5,433 in March, 2,647 in April and 6,177 in May in 2025.



16.0 Price Situation

In December 2025, the last month of the review period, the rate of general inflation rose further on a point-to-point basis (Base: 2021-22=100) in an apparent defiance of central bank's bid to lower persistently elevated price growth in a weakening investment scenario. The overall inflation stood at 8.49 per cent in December, edging up from 8.29 per cent in November 2025, according to the latest BBS (Bangladesh Bureau of Statistics) data (Table 13). In the corresponding period in December 2024, the inflation rate was higher at 10.89 per cent. The government targeted to keep the average inflation within 6.5 per cent during the current fiscal year (FY26).

The BBS data showed that inflation on account of both food and non-food prices accelerated during the month under review. The food inflation was recorded at 7.71 per cent in December from 7.36 per cent in November while non-food inflation was at 9.13 per cent from 9.08 per cent. In December 2024, year-on-year, food and non-food inflation was at 12.92 per cent and 9.26 per cent, respectively.



Table 13: Monthly Trends in Inflation (Base: 2021-22=100)

(Per cent)

Period	Point to Point-All (National)			Point to Point-Rural			Point to Point-Urban		
	General	Food	Non-food	General	Food	Non-food	General	Food	Non-food
FY26^P									
July	8.55	7.56	9.38	8.55	7.36	9.73	8.95	8.04	9.55
August	8.29	7.60	8.90	8.39	7.50	9.28	8.24	7.87	8.49
September	8.36	7.64	8.98	8.47	7.54	9.40	8.28	7.94	8.51
October	8.17	7.08	9.13	8.16	6.94	9.41	8.33	7.45	8.92
November	8.29	7.36	9.08	8.26	7.27	9.24	8.39	7.61	8.91
December	8.49	7.71	9.13	8.48	7.67	9.26	8.55	7.87	8.99
FY25^R									
July	11.66	14.10	9.68	11.89	14.06	9.84	11.27	14.22	9.43
August	10.49	11.36	9.74	10.95	11.44	10.45	10.01	11.24	9.20
September	9.92	10.40	9.50	10.15	10.38	9.91	9.83	10.50	9.38
October	10.87	12.66	9.34	11.26	12.75	9.76	10.44	12.53	9.06
November	11.38	13.80	9.39	11.53	13.41	9.72	11.37	14.63	9.31
December	10.89	12.92	9.26	11.09	12.63	9.65	10.84	13.56	9.17

Notes: i) P=Provisional, R=Revised; ii) Food includes food, beverages and tobacco

Source: Bangladesh Bureau of Statistics (BBS)

Price pressures intensified across region in the past month, after some respite. In the urban Bangladesh, the inflation rate in general and food soared to 8.55 per cent and 7.87 per cent in December 2025 - higher than the rate in the rural areas at 8.48 per cent and 7.67 per cent, respectively. On the other hand, non-food inflation in the rural area was higher at 9.26 per cent in December 2025 compared to 8.99 per cent in the urban areas.

Though the review period is October-December of FY26, some additional time is required due to the availability of data and preparing the report. In the meantime, the rate of general inflation in January 2026 is available and that is 8.58 per cent. One year earlier, the inflation was 9.94 per cent in January 2025.

17.0 Chamber's Projection on Some Selected Economic Indicators

Based on observations over the preceding nine months, the Chamber has made its own projections on some selected economic indicators for the third quarter (January - March) of the current fiscal year (Q3 of FY26). These projections are presented in Table 14.

Table 14: Projection on Some Selected Indicators for Q3 of FY26

Indicators	FY25			FY26								
	April	May	June	July	August	Sept.	Oct.	Nov.	Dec.	Jan.	Feb.	Mar.
Export (million US\$)	3031	4732	3338	4779	3884	3607	3813	4036	4281	4414	4475	4515
Import (million US\$)	5820	5787	4391	6270	5223	6212	5622	5799	5865	5895	5945	6035
Remittances (million US\$)	2752	2970	2821	2478	2422	2686	2562	2890	3224	3171	3190	3250
Forex Reserve (million US\$)	22042	20537	26740	24779	26174	26604	27578	26396	28589	28681	28695	28780
Inflation, Point to Point (per cent)	9.17	9.05	8.48	8.55	8.29	8.36	8.17	8.29	8.49	8.58	8.60	8.55

Notes: April– December 2025: Actual figures except December's import data; January-March 2026: Projected value (figures in bold)

Sources: BB, BBS and the Chamber's own calculation

The Bangladesh economy is trying to overcome the difficulty due to the present political uncertainty and conflicting world scenario. Therefore, the performances of the selected economic indicators are mixed. Exports, imports and foreign exchange reserves may increase in the next three months. Remittances may decrease in January and then increase in the next two months. Inflation, however, is likely to up in January and February and then go down slowly in March of FY26.

18.0 Concluding Observations

During the quarter under review (October-December of FY26), Bangladesh's economy showed mixed performance. Growth remained modest, weighed down by weak exports, subdued private investment, and tight monetary policy. Inflation stayed elevated, prompting continued credit tightening, which further constrained business activity.

On the positive side, strong remittance inflows supported foreign exchange reserves and helped maintain overall balance of payments stability, despite a widening trade deficit. Overall, the economy remained under pressure, with stability improving gradually but recovery still fragile.

A Brief Profile of MCCI, Dhaka

Founded in 1904, the Metropolitan Chamber of Commerce and Industry, Dhaka (MCCI) is the oldest and the pre-eminent trade organization of Bangladesh. Its membership roll encompasses leading commercial and large industrial organizations of the country, including public sector corporations and local as well as multinational companies. Presently, almost all major enterprises of the manufacturing and service sector are among its members. The Chamber provides a wide range of professional services to its members.

The Chamber's services, developed over a long period, are comprehensive and cover specialized areas such as taxation, import-export, tariff and non-tariff measures, investment, WTO matters and other national and international economic and commercial concerns. The Chamber maintains a secretariat manned by professional staff. It offers secretarial services to the Bangladesh Employers' Federation (BEF), the lone national level organization of employers in the country dealing with industrial relations, occupational safety and health, workplace cooperation, skills development, labor law and other labor-related issues.

The Chamber's policy recommendations and inputs related to ongoing reforms have gained wide acceptance amongst government and policy makers. MCCI has earned recognition at home and abroad by offering services such as issuing certificates of origin, and, through conducting economic research and sector surveys, offering trade and investment facilitation services, legal services, information management and dissemination, and publications related to trade and commerce.

The Chamber is represented in many Advisory Councils as well as Committees formed by various ministries of the government of Bangladesh. MCCI also maintains effective working relations with development partners, e.g., the World Bank Group, Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ), the Asian Development Bank (ADB), Japan External Trade Organization (JETRO), Japan International Cooperation Agency (JICA), the Asia Foundation, etc. MCCI has a long history of joint collaboration. It interacts regularly with major international trade bodies and many private sector organizations located all over the world.